Chapter 5:

Advanced Options Strategies and Techniques

We already explored some basic option strategies in Chapter 4. If you have grasped what we have discussed in this book until now, you're ready to learn advanced options techniques.

5.1 Advanced Strategies for Bullish and Bearish Views

Let's start with the butterfly spread strategy for bearish and bullish views.

5.1.1 Bull call butterfly spread

In a bull call butterfly spread, you buy one ATM call option, sell two OTM calls, and buy one call that is further OTM.

Since this is a three-legged strategy, it can be complicated to execute. However, it will benefit you if the market moves up slightly. **A major advantage of the bull call butterfly spread is the low risk in case of high movement.** The risk is lower in comparison to the ladder or the ratio spread.

1st Leg — Buy 1 ATM Call

2nd Leg — Sell 2 OTM Calls

3rd Leg — Buy 1 far OTM Call

Example: Suppose you expect the market to move up by 200 points. You execute the following strategy.

Particulars	Strike Price	Price
1 Nifty call bought	25,000	₹125
2 Nifty calls sold	25,200	₹50
1 Nifty call bought	25,400	₹20